1. PURPOSE

The Purpose of this policy is to regulate the granting of Car allowances to the employees who qualifies alternatively to grant the use of a company car.

2. ELIGIBILITY

Employees required to travel for business purposes, based on management's discretion, (such as Sales Representatives, Technical Advisors, and similar roles) will be eligible for a car allowance based on criteria set out below. If below criteria is not met a company car will be provided, refer policy below.

Car allowance criteria:

- Where travel on average is below 5 000 kilometres (kms) per month.
- Employee qualifies for vehicle financing at a reputable financial institution.

Employees on a total cost to company (TCT) can structure their remuneration package to include a car allowance element in line with their expected business travel and are only allowed to claim actual fuel cost for business travel (General Managers travelling between their branches). Sales Managers will be issued a company fuel card.

3. CAR ALLOWANCE

Car allowance shall have the meaning of a fixed amount, which is paid monthly to the qualifying employee.

3.1. Allocation of car allowance

(1) The allocation of a car allowance to an employee is mainly informed by the functions and duties that they perform.
(2) Allocation of car allowance to employee may be reviewed if the duties of that position change.
(3) All employees allocated a car allowance must have the vehicle on which a car allowance is paid, available for the execution of official duties at all times.

3.2. Payment in respect of a car allowance

Monthly	Fixed element	Variable element	Total
Current allowance (prior to Jan'2022)	4 173	2 227	**6 400**
New Allowance (effective 01 Jan'2022)	6 100	2 845	**8 945**

(1) The allowance is comprised of two elements namely fixed and variable.

- Fixed – the element is to cover to monthly finance instalment of the vehicle.
- Variable – this element is to cover maintenance, tyres, and insurance costs. The variable cost element is in line with SARS issued guidelines.

(2) The car allowance will be paid monthly with salaries. Car allowance will be pro-rated for the portion of the month in which a vehicle is purchased. The relevant tax will be calculated in terms of Section 8 (1) of the South African Income Tax Act (at current 80% of the allowance will be included as remuneration for calculating tax liability). It is the employees'

responsibility to adhere to SARS requirements when completing their personal tax return annually, this includes maintaining a logbook.

(3) Effective 01 January 2022 all employees' variable element portion of their allowance will increase from R2 227 to R2 845, taking the total allowance from R6 400 to R7 018. To qualify for the increased fixed element below replacement criteria must be met as well as proof that a new vehicle was acquired.

(4) Effective 01 January 2022, all new car allowances (new employees/where employees have not qualified in the past) will be granted at the fully increased value of R8 945.

(5) The variable element will be reviewed annually by management and adjusted accordingly if deemed appropriate using CPI as guide. The fixed element will be reviewed as economic conditions change and require review.

3.3. Financing and vehicle type

(1) Employee is expected to arrange for the financing of private vehicle at a reputable financial institution of their choice. The fixed element portion of the allowance is calculated taking a 20% Residual Value into account.

(2) The decision about the choice of a vehicle, which the employee prefer to use in the daily execution of work activities, rests with the employee, with the understanding that the type of vehicle shall comply with the purpose and requirement for the execution of the employee's official duties. Where in the Company's opinion, a vehicle's fuel consumption is excessive to comply with duties, the Company has the right to recover a portion of fuel usage from the employee.

3.4. Maintenance responsibility

(1) The daily maintenance (service, tyres, general outer condition etc.) of the vehicle is the sole responsibility of the employee. The employee must ensure that the vehicle is fit for the execution of official duties at all times. The employee shall bear the maintenance cost.

(2) The employee shall commit to drive safe, responsible, and sober.

(3) The employee shall ensure the vehicle is fully insured, including 3rd party liability, at the employees' cost.

(4) The Company shall provide the employee with a fuel card to allow for the re-fuelling of the vehicle. Reasonable private travel will be allowed, fuel usage (average consumption) will be monitored.

(5) The Company will, at its cost, install a tracking unit to allow monitoring of the vehicle.

(6) Employees that receive a car allowance will not be eligible for staff loans to perform repairs/maintenance on vehicles.

3.5. Replacement

(1) In line with the Company's Company Car policy, it is expected that employees' vehicles are fit for execution of its duties and therefore require that vehicles are replaced at 250 000km or 5 yearly intervals, whichever occurs first.

3.6. Formalities, which must be met when allocating the car allowance

(1) Prior to the granting of a car allowance the following formalities must be met: The following documents must be submitted to HR division before an allowance can be paid:
- Certified copy driver's license.
- Certified copy of vehicle registration certificate.
- Proof of ownership.

4. COMPANY CAR

Employees required to travel for business purposes who does not qualify for a car allowance either based on excessive kilometres travelled per month or inability to qualify for financing will be granted the use of a company car.

4.1. Maintenance responsibility

(1) The Company shall bear the cost to maintain the vehicle. It is, however, the employee's responsibility to ensure the daily maintenance of the vehicle is performed and that the vehicle is always fit for the execution of official duties.

(2) The employee shall commit to drive safe, responsible, and sober.

(3) The Company shall ensure the vehicle is fully insured, including 3rd party liability.

(4) The Company shall provide the employee with a fuel card to allow for the re-fuelling of the vehicle. Reasonable private travel will be allowed, fuel usage (average consumption) will be monitored.

(5) The Company will, at its cost, install a tracking unit to allow monitoring of the vehicle

4.2. Replacement

(1) The Company's policy to ensure vehicles are fit for execution of its duties. Passenger vehicles will be replaced at 250 000km or 5 yearly intervals, whichever occurs first.

4.3. Fringe Benefit

(1) The use of company car will be taxed in accordance with the Seventh Schedule of the South African Income Tax Act.

4.4. General

(1) Employees shall not allow unauthorized people to drive a company car, unless an emergency mandates it, or prior approval was obtained.

(2) Employees shall not lease, sell, or lend a company car.

(3) If employees are involved in an accident with a company car, they should contact their supervisor immediately, so they can get in touch with our insurance provider. Employees should not accept responsibility or guarantee payment to another party in an accident without company authorization. The employee should also report the accident to the South African Police Service within the required timeframe.

(4) The employee is responsible for paying fines that accumulate while driving a company car that they are responsible for.